

Department of Veterans Affairs

MEMORANDUM

Date: 21 January 2026
To: Contract File
From: Contracting Officer's Representative
Thru: Contracting Officer
Subject: Contract: 36C77624C0002, Project No. 660-21-700, SLC EHRM Infrastructure Upgrades

JUSTIFICATION AND APPROVAL Out of Scope Change – Modification P00005

1. Contracting Activity:

U.S. Department of Veterans Affairs, Veterans Health Administration (VHA), Program Contracting Activity Central (PCAC), 6100 Oak Tree Boulevard, Suite 490, Independence, OH 44131.

2. Nature and/or Description of the Action Being Approved:

The contracting activity plans to award an out-of-scope bi-lateral modification to an existing firm-fixed price contract number 36C77624C0002 in accordance with VAAR 819.7004, 819.7005 and 819.7008 as interpreted by GAO Decision RCG of North Carolina, B-419691 which states:

“There is nothing in section 8127 of the Veterans Benefits Act that requires a contracting officer to make award to an SDVOSB on a competitive basis, rather than on a sole-source basis, where the same objective (i.e., award to an SDVOSB) will be met in either instance...”

The original contract award was competed among SDVOSBs and awarded in the original amount of \$31,896,000.00 to AC JV One, LLC.

3. Description of Supplies/Services Required to Meet the Agency's Needs (Including the estimated Value):

The change consists of installing new 72 strand fiber cables into buildings 550 and 590 with associated splicing and terminations to allow for connections to all communication rooms not originally included in the contract. The value of the change for building 550 is estimated to be \$90,651.11 and the value of the change for building 590 is estimated to be \$91,474.63 for a total estimated modification value of \$182,126.18.

4. Statutory Authority Permitting Other than Full and Open Competition:

Authorized or Required by Statute per 41 USC §3304(a)(5) as implemented by FAR 6.302-5; 41 U.S.C. § 3304(a)(5), 38 U.S.C. § 8127(b) and VAAR 806.302-570 provides the express authority to use other than competitive procedures for sole source awards to verified service-disabled veteran-owned small businesses (SDVOSB). The determination to make a sole source

award is a business decision wholly within the CO's discretion when it is in the best interest of the Government as authorized by VAAR 819.7008 for actions not to exceed \$5,000,000.00. As prescribed in VAAR 806.302-570(a), full and open competition need not be provided for when awarding a sole source contract to a verified SDVOSB in accordance with 819.7008, as authorized. Further, a determination that only one SDVOSB can meet the requirement is not required.

5. Demonstration that the Contractor's Unique Qualifications or Nature of the Acquisition Requires the Use of the Authority Cited Above (applicability of authority):

In performance of the base contract to upgrade the EHRM infrastructure, the contractor has demonstrated the required qualifications to perform this work by successfully performing identical work in other buildings on campus. This change only increases the quantity of fiber optic work in two buildings.

The contractor of this project, AC JV One, LLC, is a SDVOSB which possesses the technical knowledge and resources to incorporate this change into this project without affecting the A/E services already completed. It is in the best interest of the Government to incorporate additional fiber connections to buildings 550 and 590 now, to avoid duplication of effort that will increase the total cost of the project. Additionally, work by the incumbent contractor will utilize data centers and training rooms being installed under the original contract and work added by modification eliminates additional costs for a separate contract which would include additional mobilization and demobilization, conflicts in coordinating installations, confusion on what equipment is covered by different warranties and equipment compatibility issues between equipment installed by multiple contractors. This sole-source award is in the best interests of the Government and meets the conditions set forth in VAAR 819.7008(a).

6. Description of Efforts Made to ensure that offers are solicited from as many potential sources as deemed practicable:

Modifying the existing contract at this time mitigates significant cost risk that would come with procuring the completion of the design and construction of the new fiber connections for buildings 550 and 590 under a second, separate contract down the line. As such, additional efforts to solicit offers from additional offerors was not made.

Additionally, and in accordance with VAAR 819.7008(b), Sole Source Awards to a Verified Service- Disabled Veteran-Owned Small Business, the Contracting Officer's determination whether to make a sole source award is a business decision wholly within the discretion of the Contracting Officer. For the reasons stated herein, and specifically in reference to Paragraph 9, the undersigned Contracting Officer has determined that AC JC One, LLC. is a qualified SDVOSB. The Justification and Approval (J&A) document will be posted within 14 days after award in accordance with FAR Subpart 6.305 and the award synopsis will be posted to Contract Opportunities in accordance with FAR Subpart 5.301(a)(2).

7. Determination by the Contracting Officer (CO) that the Anticipated Cost to the Government will be Fair and Reasonable:

The Contracting Officer will use negotiation and price analysis techniques prescribed at FAR 15.404- 1 to determine price reasonableness. The government's pre-negotiation position will be based on costs proposed by the contractor at the time of the competitive project award, technical analysis of the proposal itself and other historical data available at the time of proposal analysis.

8. Description of the Market Research Conducted and the Results, or a Statement of the Reasons Market Research Was Not Conducted:

Market research was conducted prior to award of the original contract. The final market research documents were signed on May 8, 2023, indicating that an adequate number of SDVOSB concerns had been obtained to comply with the rule of two.

Market research was not conducted for the proposed modification due to the potential for delays on the current contract that would delay the ability of Veterans to receive the benefits of the new electronic health care records system and the likelihood of spiraling costs on the current project and increased costs for a separate fiber breakout contract for buildings 550 and 590. Under the circumstances, it is impracticable to conduct further market research and solicit from other sources.

9. Any Other Facts Supporting the Use of Other than Full and Open Competition:

GAO Decision RCG of North Carolina, B-419691 states:

“There is nothing in section 8127 of the Veterans Benefits Act that requires a contracting officer to make award to an SDVOSB on a competitive basis, rather than on a sole-source basis, where the same objective (i.e., award to an SDVOSB) will be met in either instance...”

The decision references VAAR 819.7004, 819.7005 and 819.7007 which provide the VA with independent authority to award contracts using other than full and open competition (including set-aside procurements and sole-source awards) in certain circumstances.

Specifically:

(a) A contracting officer may award contracts to SDVOSB concerns on a sole source basis provided:

- (1) The anticipated award price of the contract (including options) will not exceed \$5 million;
- (2) The requirement is synopsisized in accordance with FAR part 5;
- (3) The SDVOSB concern has been determined to be a responsible contractor with respect to performance; and
- (4) Award can be made at a fair and reasonable price.

Assuming that the Contracting Officer can make a determination that the price ultimately negotiated with the contractor is fair and reasonable, there is no barrier to awarding this work to the incumbent on a sole source basis since the incumbent is a responsible SDVOSB, and the change will be synopsisized in accordance with FAR part 5, and the requirement is less than \$5M.”

10. Listing of Sources that Expressed, in Writing, an Interest in the Acquisition:

The incumbent, AC JV One, LLC is a qualified SDVOSB has expressed interest in the acquisition.

11. A Statement of the Actions, if any, the Agency May Take to Remove or Overcome any Barriers to Competition before Making subsequent acquisitions for the supplies or services required:

Due to the ongoing construction associated with this project, this J&A describes the need for the VA to procure this change from the contractor that is presently on site. This J&A represents an effort by the VA to mitigate schedule delays and increased costs and maintain a single contractor able to control the project schedule risk of the proposed change. The base award was competitively awarded to a SDVOSB, and the work that is the subject of this modification will also be awarded to an SDVOSB.

12. Requirements Certification:

I certify that the requirement outlined in this justification is a Bona Fide Need of the Department of Veterans Affairs and that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.

BRANDON Digitally signed by
WILKINS BRANDON WILKINS
 Date: 2026.01.21
 12:41:30 -07'00'

Brandon Wilkins
 Contracting Officer Representative
 Salt Lake City VAMC

13. Approvals in accordance with FAR 6.304

- a. **Contracting Officer's or Designee's Certification (required):** I certify that the foregoing justification is accurate and complete to the best of my knowledge and belief.

NAME AND TITLE (Type or print)	
MICHAEL MOFFETT	Digitally signed by MICHAEL MOFFETT Date: 2026.01.21 13:55:51 -07'00'
SIGNATURE	DATE SIGNED
Michael T. Moffett	01/21/2026

- b. **One Level Above the Contracting Officer (Required over SAT but not exceeding \$750K):** I certify the justification meets requirements for other than full and open competition.

NAME AND TITLE (Type or print)	
SIGNATURE	DATE SIGNED